interest on loans to middle-income countries, this is often insufficient to sustain concessional programs or high-risk projects. For example, the World Bank's International Development Association (IDA), which provides concessional loans to the world's poorest countries, relies heavily on periodic replenishments from member states. Threats to this funding, such as those historically issued by the US Congress, have triggered internal crises, disrupted operations, and raised doubts about the organization's reliability and legitimacy (Nielson and Tierney 2003).

The cascading effects of budget cuts can include program suspension, staff layoffs, and delays in critical initiatives, particularly in organizations already stretched thin by their mandates. For instance, while some IOs manage to buffer short-term financial shocks through investment income, these reserves are rarely sufficient for long-term purposes. This fragility underscores how vital consistent funding is to the survival of IOs, especially those tasked with responding to crises or providing essential services.

Populists' deliberate use of funding as a political weapon creates ripple effects that extend beyond the immediate fiscal challenges. Large-scale funding cuts undermine IOs' legitimacy by casting doubt on their stability and their ability to fulfill their mandates. When powerful states disrupt their financial commitments, they send a signal to other member states, potentially encouraging further noncompliance; if the richest states in the international system are unwilling to spare funding to IOs, why should smaller states? The resulting instability risks creating a contagion effect, where IOs become hollowed-out shells incapable of carrying out their missions effectively.

2.2.4 Effort Withholding

Scholars have long studied the factors driving noncompliance with IOs, from domestic political dynamics (Findley, Nielson, and Sharman 2014) to the specifics of treaty design (Downs, Rocke, and Barsoom 1996). Yet the role of populism in shaping compliance with international commitments has received far less attention. Populist leaders often adopt an antagonistic stance toward global governance, reducing their cooperation with IOs in ways that disrupt institutional effectiveness.